

Retail Research	IPO Note
Sector: Power Equipment	Price Band (Rs): 95 – 105
23 rd May 2025	Recommendation: SUBSCRIBE

Prostarm Info Systems Ltd.

Company Overview:

Prostarm Info Systems Ltd (PISL) is engaged in designing, manufacturing, assembling, sale, service and supply of Energy Storage Equipment and Power Conditioning Equipment. The company operates through 2 Units in Pune with combined capacity of 1,15,000 kVA/kW and Unit 3 at Navi Mumbai for lithium-ion battery packs with capacity of 1,00,000 kWh.

Key Highlights:

1. Diverse product portfolio with multiple end user industries: The company offers a diversified portfolio which includes UPS systems, Lithium-ion battery packs, Solar hybrid inverter systems, etc which have applications across end-use industries. The company also deals in sale & supply of 3rd party power solution products.

2. Marquee customers: As of FY24, the company served 700+ customers including marquee names like L&T, Tata Power, Bajaj Finance and has been empanelled as a vendor for PSUs like Airports Authority of India, Railtel Corp, etc.

3. Robust distribution network: The company's network included 360/478 dealers & distributors in 9MFY25/FY24 respectively, which is supported by 21 branch offices and 2 storage facilities across 18 states and 1 UT in the country.

Debtor/Inventory/Creditor/CCC Days (FY24): 111/101/99/113 respectively.

Addressable market size of domestic UPS market: Rs 1,549 cr by FY30E. (FY23A-FY30E CAGR: 8.1%).

Addressable market size of domestic Solar EPC market: Rs 2,221 cr by FY30E. (FY23A-FY30E CAGR: 8.4%)

Key Risks: Highly dependent on revenue from Top 10 customers (71.8%/51.9% in 9MFY25/FY24 respectively); Concentration of business activities on Government auction and tenders (74.3%/64.5% in 9MFY25/FY24 respectively); Top 5 suppliers accounted for 80.6%/67.2% of 9MFY25/FY24 purchases respectively.

Valuation: PISL's product portfolio finds applications across diverse industries such as data centers, renewable energy storage systems, power backup systems across commercial buildings, hospitals, airports and inverter systems for elevators. The company's Revenue/EBITDA/PAT have grown at a CAGR of 23%/49%/43% over FY22-FY24. Growth in FY25E also appears robust based on the annualized numbers. At the upper price band of Rs 105, the stock is likely to trade at 20.2x annualized FY25E EPS. The valuation appears decent when compared to peers. We recommend Subscribing to the Issue.

Particulars (Rs cr)	FY22	FY23	FY24	9MFY25	FY22-FY24 CAGR (%)
Revenue	171.3	230.4	257.9	268.6	22.7
YoY (%)	-	34.5	11.9	-	-
EBITDA	15.8	27.2	35.3	34.2	49.3
YoY (%)	-	71.6	29.8	-	-
PAT	11.4	20.0	23.3	22.9	43.0
YoY (%)	-	75.4	16.6	-	-
EBITDA (%)	9.2	11.8	13.7	12.7	-
PAT (%)	6.7	8.7	9.0	8.5	-
ROE (%)	27.8	32.8	27.7	-	-
ROCE (%)	33.8	29.8	26.1	-	-
D/E (x)	0.1	0.4	0.5	-	-
P/E (x)	54.3	30.9	26.5	-	-
EV/EBITDA (x)	39.1	23.6	18.7	-	-
CFO	4.2	(13.5)	(7.8)	(10.5)	-
CFI	(8.9)	(8.3)	(7.9)	(1.3)	-
FCF	1.7	(16.3)	(11.6)	(22.4)	-

Note: P/E (x) and EV/EBITDA (x) based on post-issue share capital @ upper price band.

Issue Details	
Date of Opening	27 th May 2025
Date of Closing	29 th May 2025
Price Band (Rs)	95 – 105
Offer for sale (shares)	-
Fresh Issue (shares)	1,60,00,000
Issue Size (Rs cr)	152 – 168
Issue Size (No. of shares)	1,60,00,000
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	559 – 618
BRLMs	Choice Capital Advisors Pvt Ltd
Registrar	KFin Technologies Ltd
Bid Lot	142 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding working capital requirement	72.5
Prepayment or repayment of borrowings	18.0
Inorganic acquisitions and general corporate purposes [^]	77.5
Total proceeds from fresh issue[^]	168

[^] At upper price band of Rs 105 per share

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	4,28,74,592	100.0
Public & Others	-	-
Total	4,28,74,592	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	4,28,74,592	72.8
Public & Others	1,60,00,000	27.2
Total	5,88,74,592	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,28,74,592	72.8
Public & Others	1,60,00,000	27.2
Total	5,88,74,592	100.0

Peer Comparison – FY24		
Particulars (Rs cr)	Prostarm Info Systems	Servotech Renewable Power System
CMP (Rs @ UB)	105	124
Mkt Cap (@ UB)	618	2,760
Revenue	258	587
EBITDA	35	54
PAT	23	33
RoE (%)	27.7	14.7
P/E (x)	26.5	83.6

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

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IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futorex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

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Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Uday Chandgothia	B-Tech, MBA (Finance)	Research Associate - Equity Fundamentals
Arnav Sane	BMS (Finance)	Research Associate - Equity Fundamentals
Shubham Purohit	BMS (Finance)	Research Associate - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ashwin Ramani	B.Com	Research Analyst- Equity Technicals
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

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**Sudeep Shah**

DVP – Technical & Derivative Research

**Sunny Agrawal**

DVP – Fundamental Research